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CITY OF BERKELEY

BERKELEY CITY COUNCIL SPECIAL MEETING

MAY 20, 2025

>> SORRY. OH, LOUD. LOUD. HELLO, EVERYONE. I AM GOING TO CALL TO ORDER THE SPECIAL MEETING OF THE CITY COUNCIL. TODAY IS TUESDAY, MAY 20, AND CLERK, COULD YOU CALL THE ROLL.

>> COUNCIL MEMBER KESARWANI ABSENT. COUNCIL MEMBER TAPLIN. BARTLETT IS ABSENT. O'KEEFE.

>> HERE.

>> LUNAPARRA.

>> HERE.

>> HUMBERT.

>> PRESENT.

>> AND MAYOR ISHII.

>> PRESENT. WE HAVE SOME PUBLIC HEARINGS --

>> YEAH, SEE WHAT I CAN DO ABOUT THAT.

>> FOR ITEM 1, IT IS AUTHORIZING THE EXECUTION, SALE, AND DELIVERY OF LEASE REVENUE NOTES FOR THE FIRE ADMINISTRATION AND TRAINING PROJECT FROM THE CITY MANAGER. WILL YOU REMIND ME, DO WE NEED TO TAKE PUBLIC COMMENT?

>> WE CAN OPEN THE PUBLIC HEARING AND RECEIVE THE PRESENTATION.

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>> MAYOR A. ISHII: THEN WE'LL TAKE IT, OKAY. LET'S OPEN THE PUBLIC HEARING, AND WE WILL HEAR FIRST FROM STAFF. THANK YOU.

>> HENRY, YOU CAN GRAB THIS OTHER ONE OVER HERE TOO. YOU NEED TO TALK KIND OF CLOSE.

>> GOOD AFTERNOON, COUNCIL. I AM THE FINANCE DIRECTOR. WITH ME ON THE LEFT, TO YOUR RIGHT IS THE BOND COUNSEL FOR THE CITY. WHAT WE ARE GOING TO DO TODAY IS THERE ARE TWO THINGS WE WANT TO GET APPROVAL FROM COUNCIL. ONE, WE WANT TO ISSUE REVENUE BONDS SO THAT WE CAN FINISH THE CONSTRUCTION OF THE FIRE HEADQUARTERS THAT WE WANT TO MOVE THE FIRE DEPARTMENT FROM THEIR CURRENT LOCATION TO WHERE THEY ARE GOING. AND SECOND, WE WANT TO ISSUE THE SERIES O, THAT WE NEED TO ISSUE SO WE COULD DO AFFORDABLE HOUSING. TWO ITEMS ON THE AGENDA FOR TONIGHT. BEFORE WE DO THAT, WE NEED TO HAVE A TRAINING. OUR DISCLOSURE POLICY SAYS THAT COUNCIL SHOULD BE TRAINED EVERY THREE OR FOUR YEARS, SO YOU UNDERSTAND WHEN WE COME TO YOU FOR BORROWING OF FUNDS, THAT YOU KNOW WHAT THEY ARE RESPONSIBLE FOR, EVEN I HAVE EMAILED YOU AND TOLD YOU I SET UP A -- TO THE POLICY WE HAVE, WHICH IS THE BORROWING AND DISCLOSURE. AS FINANCE DIRECTOR, I HAVE CONSTITUTED A DISCLOSURE COMMITTEE WITH MY STAFF AND I, AND WE HAVE SATISFIED THAT EVERY INFORMATION THAT WE HAVE ON THE OFFICIAL STATEMENT ARE ACCURATE, SO WE SAID THAT TO YOU. THAT IS PART OF THE POLICY THAT WE HAVE. ARE WE GOING TO START WITH THE

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TRAINING NOW, MAC? OKAY. RIGHT.

>> WOULD YOU MOVE TO THE SECOND SLIDE? GOOD EVENING, MADAM MAYOR, MEMBERS OF THE COUNCIL. I WORK AT A LAW FIRM CALLED JONES HALL. THE CITY ATTORNEY ASKED ME TO PROVIDE TRAINING ON THE FEDERAL SECURITIES LAW, SOMETHING ALSO REQUIRED BY YOUR DISCLOSURE POLICIES. MY MESSAGE IN A NUTSHELL, THE CITY, WHEN IT ISSUES BONDS, IS SUBJECT TO FEDERAL SECURITIES LAW, WHICH REGULATES DISCLOSURE, BUT THE LAW APPLIES TO OTHER DISTRIBUTIONS OF INFORMATION INTENDED TO REACH INVESTMENT COMMUNITY. THAT COULD INCLUDE YOUR WEBSITE. SECONDLY, STAFF AND ELECTED OFFICIALS SHOULD TAKE REASONABLE ACTIONS TO ENSURE THEIR DISCLOSURE COMPLIES WITH FEDERAL SECURITIES LAWS, AND I WILL GIVE GUIDANCE ON WHAT THAT ACTION WOULD BE. THIRD, CITY STAFF AND ELECTED OFFICIALS RISK LIABILITY IF THEY DON'T X-RAY WITH THE LAW, SO IT IS IMPORTANT TO UNDERSTAND YOUR REQUIREMENTS. I WILL DESCRIBE THE CIRCUMSTANCES IN WHICH LOCAL OFFICIALS HAVE BEEN SUBJECT TO PERSONAL LIABILITY. AND FOURTH, THE CITY HAS ADOPTED WRITTEN POLICIES AND PROCEDURES, AND I WILL EXPLAIN HOW I THINK THAT WILL HELP ENSURE YOU COMPLY WITH THE LAWS, AS YOU GO THROUGH THIS PROCESS. BOTH LAWS I WILL DESCRIBE TODAY WERE ADOPTED IN THE WAKE OF THE GREASE DEPRESSION, WHICH SAW WIDESPREAD FRAUD AND INVESTOR LOSSES. I WILL TALK ABOUT TWO RULES THE SECURITIES AND EXCHANGE COMMISSION, WHICH I WILL REFER

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TO AS THE SEC, THE CHIEF FEDERAL REGULATORY AGENCY RESPONSIBLE FOR ENFORCING THE LAWS, IMPOSED WITH RESPECT TO BONDS. THE SECURITIES ACT OF 1933 WAS THE FIRST FEDERAL LEGISLATION TO REGULATE THE ISSUANCE OF SECURITIES AND IT REQUIRES ISSUERS OF DEBT AND OTHER SECURITIES TO REGISTER WITH THE FEDERAL GOVERNMENT, BUT MUNICIPAL BONDS ARE EXEMPT. SECOND, THE ACT PROHIBITS FRAUD IN THE OFFER OR SALE OF SECURITIES AND MUNICIPAL SECURITIES ARE NOT EXEMPT FROM THE ANTI-FRAUD RULES. THE SECOND LAW IS THE SECURITIES EXCHANGE ACT OF 1934, WHICH APPLIES TO ISSUERS AND UNDERWRITERS, REGULATING THE TRANSMISSION OF INFORMATION RELATED TO SECURITIES TRANSACTIONS. THE 34 ACT CREATED THE SEC. MOST IMPORTANTLY, THE '34 ACT REGULATES FRAUD, AND THE SEC ADOPTED 10B5, WHICH REQUIRES COMMUNICATIONS TO INVESTORS TO INCLUDE ALL MATERIAL FACTS AND NOT TO MISSTATE MATERIAL FACTS. WHAT IS A MATERIAL FACT? IF THERE IS SUBSTANTIAL LIKELIHOOD THAT UNDER THE CIRCUMSTANCES A REASONABLE INVESTOR WOULD TAKE THAT FACT IN CONSIDERATION IN MAKING THE DECISION TO BUY OR SELL YOUR BONDS. IN 1989, FOLLOWING A $1 BILLION DEFAULT BY THE WASHINGTON PUBLIC POWER SYSTEM, THE SEC CONCLUDED INVESTORS WERE NOT RECEIVING ENOUGH INFORMATION WHEN THEY PURCHASED BONDS, SO THEY ADOPTED A NEW RULE, 15C 2-12, REQUIRING A DISCLOSURE DOCUMENT TO BE PREPARED WHEN A BOND ISSUER ISSUES BONDS. THE DISCLOSURE DOCUMENT, CALLED AN OFFICIAL STATEMENT,

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LIKE THE 2022 GENERAL OBLIGATION BOND OFFICIAL STATEMENT SHOWN ON THIS SLIDE, AND 2021 LEASE REVENUE BOND OFFICIAL STATEMENT SHOWN HERE, IS PREPARED BY ISSUER'S STAFF WITH ASSISTANCE OF PROFESSIONALS, APPROVED BY THE COUNCIL, AND IT MUST INCLUDE ALL MATERIAL FACTS, SO BOTH A SUMMARY OF THE TERMS OF THE BONDS AND FINANCIAL AND OPERATING DATA ALLOWING THE INVESTOR TO EVALUATE THE CREDIT OF THE BONDS. TONIGHT, YOU ARE BEING ASKED TO APPROVE THE ISSUANCE OF GENERAL OBLIGATION BONDS, SECURED AND PAYABLE ONLY FROM INCREASES ON TAXABLE PROPERTY IF THE CITY, AND ISSUANCE OF LEASE REVENUE NOTES, WHICH ARE PAYABLE FROM LEASE PAYMENTS MADE BY THE CITY FROM ITS GENERAL FUND. APPENDIX A IN THE OFFICIAL STATEMENT FOR BOTH FINANCINGS DESCRIBES THE CITY'S GENERAL FUND. THE SEC AS GIVEN A CLEAR EXPLANATION OF THE RESPONSIBILITIES OF ELECTED OFFICIALS WHEN IT IS ASKED TO APPROVE A STATEMENT LIKE YOU ARE ASKED TO DO TONIGHT. IN 1994, ORANGE COUNTY DECLARED BANKRUPTCY, IT WAS ISSUING SHORT-TERM NOTES AND INVESTING IN RISKY INVESTMENTS. THE COUNTY BOARD OF SUPERVISORS APPROVED THOSE OFFICIAL STATEMENTS, USUALLY ON THE CONSENT CALENDAR, BUT FAILED TO DISCLOSE THE RISKY NATURE OF THE INVESTMENT SCHEME AND THE ABILITY TO REPAY THE NOTES. IN THE WAKE OF THE FILING, WHICH DID NOT RESULT ON DEFAULT ON ANY OF THE COUNTY'S DEBTS, THE SEC PURSUED AN ACTION AGAINST STAFF, MEMBERS OF THE LEGISLATIVE BODY AND THE COUNTY AND ISSUED A

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REPORT TO EMPHASIZE THE RESPONSIBILITIES UNDER THE FEDERAL SECURITIES LAWS OF LOCAL GOVERNMENT OFFICIALS. THE REPORT HIGHLIGHTED THE SUPERVISORS WERE AWARE OF THE COUNTY'S FINANCIAL CONDITION AND BUDGET TEAR RELIANCE ON THE ABOVE-MARKET RETURNS GENERATED BY THE RISKY INVESTMENTS AND SUPERVISORS FAILED TO TAKE APPROPRIATE STEPS UNDER THE CIRCUMSTANCES TO ENSURE THE COUNTY'S FINANCIAL SITUATION WAS BEING DISCLOSED TO INVESTORS. THE SEC PROVIDED GUIDANCE ON WHAT THEY THINK ELECTED OFFICIALS SHOULD DO. THEY WROTE THE OFFICIALS ARE EXPECTED TO TAKE STEPS APPROPRIATE IN THE CIRCUMSTANCES TO CONFIRM THE DISCLOSURE INCLUDES ANY MATERIAL FACTS OF WHICH YOU ARE AWARE THAT COULD ADVERSELY AFFECT THE CITY'S ABILITY TO PAY DEBT SERVICE ON YOUR BONDS. THAT DOESN'T NECESSARILY MEAN READING THE DISCLOSURE DOCUMENTS YOU HAVE IN YOUR PACKAGE TONIGHT WORD FOR WORD, BUT IT MEANS QUESTIONING STAFF OR US AS YOUR COUNSEL, IF YOU ARE CONCERNED THAT SOME FACTS THAT COULD ADVERSELY AFFECT THE ABILITY TO PAY BOND MAY OR MAY NOT HAVE BEEN DISCLOSED. AS THE SEC WROTE, A PUBLIC OFFICIAL MAY NOT AUTHORIZE DISCLOSURE WHILE DISREGARDING FACTS THAT INDICATE THERE IS A RISK THE DISCLOSURE MAY BE ENACTED. IN 1994, THE SEC ADOPTED AMENDMENTS THAT ESTABLISHED A NEW CONTINUING DISCLOSURE REGIME AND AMENDMENTS REQUIRE ISSUERS TO DISCLOSE FINANCIAL INFORMATION AND OPERATING DATA OF THE TYPE IN THE ORIGINAL STATEMENT, INCLUDING THE AUDITS

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FINANCIAL STATEMENTS, REQUIRES TIMELY NOTICE OF CERTAIN SIGNIFICANT EVENTS, SUCH AS BANKRUPTCIES, RATING CHANGES, AND IT REQUIRES THAT INFORMATION TO BE POSTED ON A PUBLICLY AVAILABLE WEBSITE. IN TRAINING SESSIONS LIKE THIS, I LIKE TO INCLUDE THIS SLIDE, BECAUSE IT HIGHLIGHTS WHAT THE SEC THINKS LOCAL AGENCIES SHOULD DO IN ORDER TO COMPLY WITH THE LAWS. IN MANY OF THE MOST RECENT ENFORCEMENT ACTIONS BROUGHT BY THE SEC, THEY REQUIRED THE AGENCY TO ADOPT WRITTEN POLICIES AND PROCEDURES. IN 2017, THE CITY ADOPTED WRITTEN POLICIES AND PROCEDURES THAT I BELIEVE THE CITY -- WILL HELP THE CITY COMPLY WITH THE LAWS. THE KEY FEATURES OF THE POLICY ARE THERE IS A DISCLOSURE WORKING GROUP THAT HAS THE ACCOUNTING MANAGER AND OTHER STAFF AS APPROPRIATE FOR A PARTICULAR FINANCING, IT WILL INCLUDE OUTSIDE PROFESSIONALS SUCH AS THE MUNICIPAL ADVISOR OR A LAW FIRM LIKE OURS. THE DISCLOSURE WORKING GROUP WILL REVIEW THE STATEMENT TO MAKE SURE IT X-RAYS WITH THE REQUIREMENTS THAT IT INCLUDE ALL MATERIAL FACTS, AND IT WILL DO THAT BEFORE THE DOCUMENT IS SENT TO THE CITY COUNCIL, AS YOU ARE RECEIVING IT TONIGHT. THE RESOLUTION WILL BE APPROVING THE STATEMENT WILL BE DOCUMENTED AS A SEPARATE MATTER OF BUSINESS, AND THE STAFF REPORT FOR THE FINANCING WILL HIGHLIGHT THE KEY SECTIONS OF THE OFFICIAL STATEMENT THAT IMPACT THE CITY'S ABILITY TO PAY DEBT SERVICE ON THE BONDS. I WANT TO POINT OUT YOUR POLICIES HIGHLIGHT THE FACT

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THAT THE INFORMATION THAT IS GOVERNED BY FEDERAL SECURITIES LAWS IS NOT LIMITED TO OFFICIAL STATEMENTS, CONTINUING DISCLOSURE FILINGS OR FINANCIAL STATEMENTS. THE LAWS GOVERN OTHER INFORMATION THAT MAY BE INTENDED TO REACH THE INVESTMENT COMMUNITY. FOR EXAMPLE, IN 2013, THE SEC BROUGHT ENFORCEMENT ACTION AGAINST THE CITY OF HARRISBURG, PENNSYLVANIA. THE SEC CONCLUDED IT WAS REASONABLE FOR INVESTORS TO RELY ON MISLEADING STATEMENTS ON THE WEBSITE. IT CALLED OUT A MISLEADING STATE OF THE CITY PRESENTATION GIVEN BY THE MAYOR. SECOND, THE ISSUER SHOULD PROVIDE APPROPRIATE TRAINING TO THEIR OFFICIALS AND EMPLOYEES INVOLVED IN THE ISSUANCE PROCESS. SO CONSISTENT WITH BEST PRACTICES, TONIGHT I WILL GIVE YOU THE INFORMATION YOU NEED TO COMPLY WITH SECURITIES LAW. YOU RECEIVED A MEMORANDUM FROM THE CITY ATTORNEY THAT INCLUDED THIS ORANGE COUNTY REPORT I MENTIONED EARLIER, AND THE STAFF REPORT FOR THE TWO FINANCINGS HIGHLIGHTS THE SAME MATERIAL, AS WELL AS HIGHLIGHTING KEY PROVISIONS FROM THE DOCUMENT. THIRD, LOCAL AGENCIES SHOULD FOCUS ON THE BIG BIGS FACING THE CITY. WHEN THE SEC BROUGHT ACTION AGAINST THE CITY OF SAN DIEGO, THE DOCUMENTS INCLUDED A LOT OF FACTS, BUT THEY INTENTIONALLY FAILED TO DESCRIBE WHAT WAS THE ELEPHANT IN THE ROOM, THE CITY'S CONSISTENT UNDERFUNDING OF THEIR PENSION PROGRAM. THE EXPECTATION IS YOU WILL FOCUS ON THE BIG PICTURES THAT ARE MOST MATERIAL TO INVESTORS WHEN EVALUATING

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THE CREDIT OF YOUR BONDS. LOCAL AGENCIES SHOULD DISCLOSE THE GOOD FACTS WITH THE BAD FACTS. IT IS TEMPTING, WHEN YOU PREPARE A STATEMENT TO TURN IT INTO A MARKETING PIECE, HIGHLIGHTING THE CITY'S STRENGTHS, SAME WHEN YOU GO TO AN AGENCY PRESENTATION, BUT THE SEC WANTS YOU TO PREPARE A PICTURE OF THE WHOLE ISSUER, WARTS, AND ALL. THE SEC THINKS LOCAL AGENCIES SHOULD HIRE AUDITORS AND OTHER CONSULTANTS SUITED TO THEIR TASKS. THAT WAS AN ISSUE IN SAN DIEGO. THE BIG PICTURE MAY HAVE THINGS TO DO WITH PENSIONS. THAT IS TYPICAL IN CALIFORNIA, BUT IT COULD BE LITIGATION, THE PENDING MOVE OF A LARGE EMPLOYER OR LARGE RATE PAYER OR TAXPAYER, IT COULD BE DEFERRED INFRASTRUCTURE WORK, A STRUCTURAL IMBALANCE IN THE BUDGET. YOU WILL SEE IN APPENDIX A THAT IT PROVIDES SIGNIFICANT INFORMATION ABOUT THE CITY'S RESERVE POLICIES AND THE STATUS OF THOSE RESERVES, THE CITY'S UNFUNDED LIABILITY OBLIGATIONS AND ITS UNFUNDED INFRASTRUCTURE NEEDS, AND THE CITY'S IMBALANCE IN THE GENERAL FUND BUDGET. YOU SHOULD KNOW THE SEC PUNISHED INDIVIDUALS WHEN THEY HAVE ACTED WITH INTENT TO DEFRAUD INVESTORS OR WITH RECKLESS DISREGARD FOR WHETHER THEY WERE MISLEADING INVESTORS. IN ORANGE COUNTY, THE SEC FOUND THE TWO INDIVIDUALS RESPONSIBLE FOR THE COUNTY'S INVESTMENT STRATEGY, THE TREASURER AND ASSISTANT TREASURER KNOWINGLY COMMITTED FRAUD. THEY RECEIVED A JAIL SENTENCE AND A FINE. IN SAN DIEGO, THE SEC FILES CHARGES AGAINST THE CITY

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MANAGER, ASSISTANT CITY MANAGER AND TREASURER, FINES ON THREE INDIVIDUALS, PLUS ANOTHER INDIVIDUAL. THE BIGGEST WATER DISTRICT IN CALIFORNIA, IN 2016, FOR SEC CHARGED THE DISTRICT, INCLUDING THE GENERAL MANAGER AND ASSISTANT GENERAL MANAGER, DEFRAUDED INVESTORS IN CONNECTION WITH A BOND ISSUE. IN ORDER TO MEET THE COVERAGE RATIO DURING A TIME WHEN THE WATER USAGE HAD GONE DOWN BECAUSE OF DROUGHT AND THERE WAS REDUCED WATER SUPPLY, THE DISTRICT RECLASSIFIED RESERVE ACCOUNTS AND REVENUES, DESCRIBED AS A LITTLE ENRON ACCOUNTING. IMPOSING $125,000 FINE ON THE DISTRICT, AND THE GENERAL MANAGER AND ASSISTANT GENERAL MANAGER PAID FINES ALSO. I WILL REPEAT MY OPENING MESSAGE. THE CITY IS SUBJECT TO FEDERAL SECURITIES LAW WHEN IT ISSUES BONDS LIKE IT IS NOW AND WHEN IT DOES IT DISCLOSURE REPORTS. THE FEDERAL SECURITIES LAWS ALSO GOVERN THE DISSEMINATION OF OTHER INFORMATION, IF IT IS INTENDED TO REACH THE INVESTMENT COMMUNITY. CITY STAFF AND OFFICIALS SHOULD TAKE REASONABLE STEPS TO ENSURE THE CITY'S DISCLOSURE DOCUMENTS INCLUDE MATERIAL FACTS, DO NOT MISSTATE MATERIAL FACTS. THE STAFF AND OFFICIALS RISK PERSONAL LIABILITY IF THEY FAIL TO COMPLY WITH THOSE LAWS, AND THE CITY'S ADOPTED POLICIES AND PROCEDURES THAT REQUIRE DISCLOSURE WORKING GROUP AND REQUIRE THAT YOU RECEIVE THIS TRAINING TO ENSURE ONGOING COMPLIANCE. I THINK THAT'S BEEN DONE HERE. THANK YOU FOR LISTENING. I WOULD BE HAPPY TO ANSWER ANY

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QUESTIONS.

>> LOOKING AROUND TO SEE IF ANYONE HAS QUESTIONS. OKAY. YES.

>> I. TREGUB: THIS IS IN REGARDS TO MATERIAL KNOWLEDGE. I SEE ON PAGE 3 OF THE STAFF REPORT, SOMETHING SAYS IF A MEMBER OF THE CITY COUNCIL HAS KNOWLEDGE OF ANY FACTS OR CIRCUMSTANCES THAT AN INVESTOR WOULD WANT TO KNOW ABOUT PRIOR TO INVESTING IN THE BONDS, TO DISCOVER WHETHER SUCH FACTS WERE ADEQUATELY DISCLOSED IN THE PRELIMINARY OFFICIAL STATEMENT. I WAS WONDERING HOW -- WHERE YOU DRAW THE LINE OR WHERE DOES ONE DRAW THE LINE TO BE ON THE RIGHT SIDE OF THE LAW, BETWEEN HAVING MATERIAL KNOWLEDGE AND NOT DOING SOMETHING THAT MIGHT CONSTITUTE INSIDER TRADING.

>> WELL, THE FIRST THING TO UNDERSTAND, THE CITY'S OBLIGATION, WHEN THEY SELL BONDS, IS TO INCLUDE ALL MATERIAL FACTS AND NOT MISSTATE FACTS. IF THERE'S INFORMATION YOU CONSIDER CONFIDENTIAL THAT YOU DON'T WANT TO DISCLOSE FOR OTHER REASONS, THEN YOU DON'T ISSUE DEBT. IT IS NOT THAT YOU DON'T INCLUDE THE FACTS IN YOUR DISCLOSURE DOCUMENT. YOU DON'T ISSUE DEBT. THE ANSWER IS IF WHATEVER INFORMATION YOU ARE AWARE OF, A REASONABLE INVESTOR WOULD WANT TO KNOW ABOUT IN MAKING THE DECISION TO BUY OR SELL YOUR BOND, THEN IT IS YOUR RESPONSIBILITY TO MAKE SURE IT IS DISCLOSED.

>> I'M CURIOUS ABOUT THE PRESENTATION THAT WAS GIVEN THAT WAS FOUND TO BE MISLEADING. I'M CURIOUS WHAT THAT MEANT. WHAT DID

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THEY MEAN BY MISLEADING?

>> I WOULD SAY THAT WHEN YOU SEE AN ENFORCEMENT ACTION BY THE SEC, THE FACTS ARE PRETTY BAD, PEOPLE BEHAVED BADLY. USUALLY, THERE'S A SIGN THEY HAVE INTENDED TO MISLEAD, SO THAT IS THE STARTING POINT. YOU ARE PROBABLY TALKING ABOUT THE WESTLANDS WATER DISTRICT SITUATION. WHEN THE PUBLIC AGENCY ISSUED DEBT, THERE IS AN OBLIGATION TO SET YOUR RATES AT AN AMOUNT THAT WILL GENERATE DEBT SERVICE COVERAGE, SO YOU COULD PAY YOUR DEBT SERVICE, PLUS HAVE EXTRA. BECAUSE THE SOURCES OF WATER REDUCED BECAUSE OF THE DRUG, THE DISTRICT HAD BEEN UNABLE TO MEET THAT. THEY MOVED, TOOK MONEY OUT OF A RESERVE ACCOUNT AND JUST CALLED IT REVENUES, SO THEY COULD TELL INVESTORS THEY MET THEIR REVENUE COVENANT. THE ALTERNATIVE WAS TO HAVE RAISED RATES ON THE CUSTOMERS, AND THEY CHOSE NOT TO DO THAT AND APPARENTLY HIDE IT. I THINK IT IS USUALLY ACTIVITIES LIKE THAT THAT YOU COULD IMAGINE AN INVESTOR WOULD WANT TO KNOW AND YOU MADE AN EFFORT TO NOT TELL THEM.

>> MAYOR A. ISHII: SURE. GOOD TO KNOW. ARE THERE OTHER QUESTIONS FROM FOLKS? I HAVE ANOTHER ONE. I AM CURIOUS IF TELL US IF WE HAVE SOMETHING THAT CURRENTLY EXISTS THAT REQUIRES WE GET A MORE OFFICIAL REPORT REGULARLY, AS OPPOSED TO GOING TO CHECK IN WITH THIS WORKING GROUP OURSELVES. IS THERE A WAY WE CAN MAKE THIS PART OF THE PROCESS, SO WE ARE GETTING MORE REGULAR UPDATES?

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>> THERE'S TWO TIMES THAT YOU SPEAK TO THE MARKETPLACE, THE INVESTOR MARKETPLACE. ONE IS WHEN YOU ISSUE NEW BONDS. THE SECOND IS ON AN ANNUAL BASIS, WHEN YOU FILE YOUR CONTINUED DISCLOSURE FILINGS. I THINK THE MORE REGULAR PROCESS IS THE COMPLETION AND FILING OF THAT ANNUAL REPORT. WHEN YOU FILE THAT CONTINUED DISCLOSURE REPORT, YOU HAVE TO COMPLY WITH CERTAIN INFORMATION REQUIREMENTS. THERE'S A CATCH-ALL STATEMENT, PLEASE INCLUDE ANY INFORMATION THAT IS REQUIRED TO MAKE THIS MATERIALLY ACCURATE. EACH YEAR, USUALLY IN APRIL OR MARCH, THAT IS YOUR OPPORTUNITY TO MAKE SURE YOU ARE INCLUDING ALL MATERIAL FACTS WHEN YOU SPEAK TO THE MARKETPLACE. YOU ARE NOT EXPECTED TO CONSTANTLY SPEAK TO THE MARKETPLACE IN BETWEEN DISCLOSURE FILINGS AND NEW ISSUANCE FILINGS.

>> MAYOR A. ISHII: SURE. JUST WANT TO MAKE SURE WE DO OUR PART TO ENSURE THE NECESSARY INFORMATION.

>> EVERY YEAR, WE FILE THE DISCLOSURES, THERE'S TWO THINGS WE NEED TO DO AFTER THE FINANCIAL STATEMENTS ARE DONE, WE HAVE TO FILE THEM. THE SECOND ONE, EACH BOND THAT WE EVER ISSUED, WE HAVE TO FILE DISCLOSURES ON AN ANNUAL BASIS. THAT HAS BEEN DONE REGULARLY, CONSISTENTLY.

>> MAYOR A. ISHII: THANK YOU. I THINK THAT'S IT, IN TERMS OF QUESTIONS. DID YOU HAVE SOMETHING?

>> QUESTIONS ABOUT THE TRAINING ITSELF, BECAUSE I HAVE QUESTIONS

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ABOUT SOME OF THE BOND PARTICULARS.

>> YEAH, I THINK WE CAN MOVE ON, I THINK TO OUR NEXT ITEM, UNLESS THERE'S ANYTHING ELSE. YEAH, THAT IS THE NEXT ITEM, NUMBER 2. ISSUANCE OF THE $35 MILLION GENERAL OBLIGATION BONDS FOR MEASURE O AFFORDABLE HOUSING. IS THERE SOMETHING WE ARE MISSING IN BETWEEN?

>> I THINK WE OPENED THE PUBLIC HEARING FOR ITEM, AND WE NEED TO CLOSE THE PUBLIC HEARING.

>> YES, THANK YOU.

>> I GUESS I HAVE QUESTIONS ABOUT THIS PARTICULAR ISSUANCE OF LEASE REVENUE NOTES. AS I UNDERSTAND IT, THE COSTS ARE ROUGHLY -- THIS WOULD BE FOR HENRY, I THINK, OR MAYBE BOTH OF YOU, THE COSTS ARE ROUGHLY $15 MILLION TO $17 MILLION, WITH THE CITY COVERING THE REST, IS THAT RIGHT?

>> YES, WE HAVE TWO SOURCES OF FUNDS, MEASURE FF HAS BEEN SAVING, WE ALREADY PAID $7.5 MILLION FOR THE IMPROVEMENT. THIS IS TO BALANCE THAT.

>> OKAY, SO THE NOTES ARE FOR INTEREST-ONLY FOR FOUR YEARS, RIGHT?

>> I THINK IT'S THREE OR --

>> FOUR YEARS.

>> AND REPAYMENT WILL BE FROM FF AND CERTAIN FIRE STAYINGS WERE USED AS COLLATERAL, AND I UNDERSTAND STATIONS 2 AND 5. WAS THERE

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A PARTICULAR REASON THOSE WERE CHOSEN AS THE COLLATERAL?

>> JUST LOOKING FOR TWO PROPERTIES THAT HAVE THE BANDWIDTH THE FOR ABOUT $14 MILLION VERY THAT ARE NOT ENCUMBERED.

>> SO THEY ARE FREE OF ENCUMBRANCES AND THEY MORE THAN COVER THE DEBT, RIGHT?

>> YES, AND I WANT TO DISCLOSE THIS, WE FOUND THAT THE TWO PROPERTIES HAD SOME ISSUES WITH SOME TAXES AND WE ARE STILL WORKING ON THEM, SO STILL LOOKING AT OTHER PROPERTIES, BUT THAT IS THE ONE THAT --

>> MAYOR A. ISHII: AND I THINK OUR CITY MANAGER WILL SPEAK TO THAT.

>> IN THE RESOLUTION THAT WILL BE BEFORE YOU, IT DOES AUTHORIZE US TO SWAP OUT OTHER PROPERTIES FOR THE TWO NAMED FAIR STATIONS, SO AS THE DIRECTOR SAID, WE ARE IN THE PROCESS OF LOOKING AT OTHER CITY FACILITIES THAT COULD BE USED FOR THAT PURPOSE AND IT IS LIKELY WE WILL USE A COUPLE OTHER FACILITIES INSTEAD OF THESE TWO.

>> OKAY, I APPRECIATE THAT. WHAT CONTINGENCIES ARE IN PLACE IF THE CITY CAN'T AFFORD TO PURCHASE OR REFINANCE BETWEEN THE 2029 PAYMENT, THE LUMP SUM PAYMENT IS DUE?

>> THAT'S A QUESTION FOR THE --

>> WHICH LUMP SUM PAYMENT ARE YOU TALKING ABOUT? THE PRINCIPAL AMOUNT OF THE --

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>> THE PRINCIPAL AMOUNT.

>> THE CURRENT STRUCTURE OF THE RELATIONSHIP WITH THE LANDLORD IS YOU HAVE AN OPTION TO PURCHASE THE PROPERTY WITHIN APPROXIMATELY THREE YEARS. I UNDERSTAND IT IS THE CITY'S INTENT TO DO THAT. THE REASON IT'S STRUCTURED AS A SHORT-TERM NOTE AND A TAXABLE NOTE IS BECAUSE UNDER FEDERAL TAX LAW, YOU CAN'T HAVE A TAX-EXEMPT OBLIGATION THAT BENEFITS A PRIVATE PARTY, WHICH YOUR LANDLORD IS, SO WE ARE DOING A SHORT-TERM TAXABLE NOTE TAKEN OUT AT THE TIME THE PURCHASE OCCURS ON A TAX-EXEMPT BASIS. I THINK THE CITY BELIEVES THEY HAVE THE RESOURCES COMMITTED TO THE PROJECT TO BE ABLE TO FINANCE BOTH THE TAKEOUT OF THESE NOTES, THE REFINANCING OF THE NOTES, AND THE FINANCING OF THE PURCHASE PRICE OF THE PROPERTY WHEN IT IS TIME TO EXERCISE THE OPTION.

>> WHICH WILL BE FOUR YEARS FROM NOW? OKAY, I APPRECIATE THAT.

>> MAYOR A. ISHII: THANKS FOR ASKING THE QUESTIONS. I KNOW YOU SAID WE WERE GOING A WORKSHOP FIRST, THEN WE ARE KIND OF MOVING INTO THE REST OF -- IS THERE ANYTHING ELSE YOU WERE GOING TO PRESENT FOR ITEM 1?

>> NO. WE ARE NOT GOING TO PRESENT. WE ARE JUST GOING TO DISCUSS IT AND -- FOR WHAT WE ARE TRYING TO DO.

>> MAYOR A. ISHII: OKAY. IN THAT CASE, I THINK THAT WE NEED TO -- I THINK WE NEED TO ALSO TAKE PUBLIC COMMENT. IS THERE ANY

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PUBLIC COMMENT ONLINE.

>> IF ANYONE ONLINE WANTS TO COMMENT ON ITEM 1 AUTHORIZING THE EXECUTION SALE AND DELIVERY OF LEASE REVENUE NOTES FOR THE FIRE ADMINISTRATION AND TRAINING PROJECT, NOW WOULD BE THE TIME. PLEASE RAISE YOUR HAND, IF YOU WOULD LIKE TO PROVIDE PUBLIC COMMENT. OKAY. THERE'S NO RAISED HANDS.

>> MAYOR A. ISHII: I WOULD LIKE TO ENTERTAIN A MOTION TO CLOSE THE PUBLIC HEARING.

>> SO MOVED.

>> SECOND.

>> MAYOR A. ISHII: I THINK WE NEED TO TAKE ROLL, SINCE WE HAVE COUNCIL MEMBER TAPLIN ONLINE.

>> TAPLIN?

>> YES.

>> LUNAPARRA?

>> YES.

>> HUMBERT?

>> YES.

>> AND MAYOR ISHII.

>> YES.

>> PUBLIC HEARING IS CLOSED.

>> MAYOR A. ISHII: ALL RIGHT. COUNCIL DELIBERATIONS. ANY COMMENTS? I THINK OUR PARLIAMENTARIAN IS WORKING TODAY. IN THAT

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CASE, SINCE THERE'S NOT MUCH TO DELIBERATE ON, I THINK THAT MEANS FOLKS ARE PRETTY COMFORTABLE WITH WHERE WE ARE AT. ANYTHING ELSE YOU FEEL YOU NEED TO SHARE WITH US SPECIFIC ACTION THAT WE NEED TO VOTE ON?

>> NO, I THINK WE'VE COVERED ALL THE ISSUES THAT WE NEED TO DISCUSS.

>> MAYOR A. ISHII: BUT I THINK WE -- THERE'S ACTION HERE. I WOULD LIKE TO ENTERTAIN A MOTION FOR ACTION ON THIS ITEM.

>> MADAM MAYOR, I WANTED TO ASK, BECAUSE -- ARE WE ONLY CONSIDERING ITEM 1 RIGHT NOW?

>> MAYOR A. ISHII: YES.

>> OKAY. I MOVE THAT WE ADOPT A RESOLUTION AUTHORIZING THE ISSUANCE AND SALE BY THE BERKELEY JOINT POWERS FINANCING AUTHORITY, A FEDERAL TAXABLE LEASE REVENUE NOTES IN THE AGGREGATE PRINCIPAL AMOUNT OF NOT TO EXCEED $11 MILLION TO PROVIDE FINANCING FOR THE CONSTRUCTION OF IMPROVEMENTS TO PROPERTY USED FOR FIRE ADMINISTRATION AND TRAINING AND APPROVING RELATED DOCUMENTS AND ACTIONS.

>> SECOND.

>> MAYOR A. ISHII: CAN WE TAKE THE ROLL, PLEASE?

>> COUNCIL MEMBER DECEMBER CELLS.

>> YES.

>> TAPLIN.

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>> YES.

>> TREGUB.

>> AYE.

>> HUMBERT.

>> YES.

>> MAYOR ISHII.

>> YES.

>> MOTION CARRIES.

>> MAYOR A. ISHII: THANK YOU VERY MUCH. NOW THAT WE HAVE COMPLETED THAT, WE CAN MOVE ON TO THE SECOND MATTER. THIS IS ITEM 2, ISSUANCE OF THE $35 MILLION GENERAL OBLIGATION BONDS FOR MEASURE O, AFFORDABLE HOUSING.

>> YES, STAFF IS COMING TO GET APPROVAL TO AUTHORIZE THE $5 MILLION FOR GENERAL OBLIGATION BONDS FOR MEASURE O THAT THE CITY APPROVED A COUPLE YEARS AGO. THIS IS -- IT IS $135 MILLION MEASURE APPROVED BY THE CITIZENS, AND THIS IS THE THIRD ONE WE ARE ABOUT TO ISSUE. WE ARE HERE FOR THE AUTHORIZATION.

>> MAYOR A. ISHII: ARE YOU COMPLETE?

>> YES.

>> MAYOR A. ISHII: THANK YOU. WE SHOULD OPEN THE PUBLIC HEARING.

>> THIS ONE IS JUST A REGULAR ITEM.

>> MAYOR A. ISHII: THANK YOU. IN THAT CASE, COUNCIL MEMBER HUMBERT.

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>> THANK YOU. THIS IS THE THIRD TRANCHE, RIGHT?

>> YES.

>> HOW MANY --

>> I THINK ABOUT $25 MILLION IS LEFT.

>> OKAY, AFTER THIS ISSUANCE?

>> YES.

>> 25 LEFT AFTER THIS?

>> YES, IF I AM CORRECT, YES.

>> THANK YOU. THIS MAY HAVE BEEN COVERED AT OTHER MEETINGS, BUT COULD YOU OR SOMEONE FROM HHCS RECAPITULATE SOME OF THE PROJECTS THAT WOULD BE FUNDED BY THESE BONDS?

>> I WILL ASK THE --

>> LET ME GRAB SOMEONE FROM HHCS. I HAVE THE LIST. GIVE ME A SECOND.

>> SURE.

>> MAYOR A. ISHII: I DON'T THINK THERE ARE ANY OTHER FOLKS ON MY DOCKET HERE. ANYONE ELSE HAVE OTHER COMMENTS?

>> WELL, I HAVE A SECOND QUESTION. AS I UNDERSTAND IT, AND I AM NOT AN EXPERT ON THIS FOR SURE, THE BOND MARKET HAS BEEN VOLATILE. HAVE YOU MODELED ANY POTENTIAL TAXPAYERCOS UNDER A HIGHER THAN ANTICIPATED SET OF INTEREST RATES?

>> YES. THE MUNICIPAL ADVISER THAT WE USE CAME UP WITH -- YEAH, WE HAVE HAD A VOLATILE MARKET SINCE THE TARIFFS STARTED, BUT

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THAT HASN'T DRIVEN THE INTEREST RATE AS MUCH AS WE THOUGHT IT WAS. SO THE LAST ONE, IT WAS BETWEEN 4 TO 5%, WHICH IS WHAT THEY SAY IT WAS. BUT IT IS VOLATILE. WE WON'T KNOW EXACTLY UNTIL WE GO TO THE MARKET ANYWAY. WE DO -- WE OPEN IT UP -- WE DON'T NEGOTIATE AGREEMENTS, SO WE CAN'T REALLY TELL YOU, BUT AT THE TIME THIS WAS, ABOUT TEN DAYS AGO, IT WAS BETWEEN 4 TO 5%. AND THIS IS A TAXABLE BOND AS WELL. IF IT IS TAX-EXEMPT, WE HAVE A CAP. WE HAVE TO COMPLETELY SPEND THE BOND PROCEEDS BETWEEN THREE AND FIVE YEARS. BUT BECAUSE AFFORDABLE HOUSING TAKES A LONG TIME TO GET -- SO WE DECIDED THE CITY -- WE HAVE BEEN OFFERING TAXABLE BONDS FOR THIS.

>> OKAY, JUST BECAUSE OF THE TIME LENGTH.

>> YES.

>> I APPRECIATE THAT. THANK YOU.

>> MAYOR A. ISHII: COUNCIL MEMBER TREGUB, DID YOU HAVE A QUESTION?

>> I. TREGUB: I DID. I WANTED TO CONFIRM HOW MUCH IS LEFT, AFTER THIS TRANCHE. JUST QUICK BACK OF THE ENVELOPE MATH, I TRIED TO DO IT. $22 MILLION?

>> I THINK IT'S 22. T1 IS 20 AND THIS ONE IS 22, YES.

>> I. TREGUB: AND I THOUGHT THE THIRD TRANCHE WAS THE FINAL TRANCHE. IS THAT INCORRECT? IS THERE GOING TO BE A FOURTH TRANCHE OF $22 MILLION? AND IF SO, WHEN IS THAT ANTICIPATED FOR

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RELEASE?

>> YES, THERE WILL BE A -- AND YES, WE HAVE A BORROWING PLAN THAT WE USE, SO IT DEPENDS ON THE MARKET. TWO THINGS HAPPEN. WE HAVE $20 MILLION LEFT, THE FOURTH TRANCHE. WE HAVE BEEN DOING A LITTLE BIT OF A FIVE-YEAR PLAN TO FIGURE OUT HOW WE ARE GOING TO -- DEPENDING ON THE RATES, AND WE DON'T WANT TO BE TOO MUCH RATES OF THE CITIZENS, SO WE HAVE A FIVE-YEAR PLAN, SO WE LOOK AT IT, WHEN ARE WE GOING TO BE ABLE TO MEET THE FUNDS, WHEN DO THEY FEED IT, WHAT ARE THE NECESSARY THINGS -- WE PLAN BASED ON HOW THE DEPARTMENTS WANTS THEM. T1 IS BEING ANTICIPATED IN ABOUT TWO OR THREE YEARS. THE LAST TRANCHE OF THIS, THREE YEARS, SO WE GOT TO FIGURE OUT WHICH ONES WILL BE THE NEXT ONE WE CAN DO, BASED ON THE BANDWIDTH THAT WE HAVE.

>> I. TREGUB: MAYBE THIS IS A QUESTION FOR THE CITY MANAGER, ASKING AS FORMER CHAIR OF THE MEASURABLE OVERSIGHT COMMITTEE, WHICH WAS DISSOLVED BY THE PREVIOUS COUNCIL AFTER WE THOUGHT WE COMPLETED OUR WORK, WHERE WE MADE ALL THE RECOMMENDATIONS FOR THE ENTIRETY OF THE $135 MILLION AMOUNT. SO I AM CURIOUS FOR THAT FINAL TRANCHE, WHICHEVER IT WOULD BE ISSUED. WHAT WOULD BE THE PROCESS IF IT IS NOT A RECOMMENDATION FROM THE MEASURE O OVERSIGHT COMMITTEE, WHICH NO LONGER IS ACTIVE? WOULD IT BE A RECOMMENDATION FROM STAFF?

>> YEAH, THANK YOU. YOU ARE CORRECT. THAT COMMITTEE DID MAKE

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THEIR RECOMMENDATIONS, SO THE FINAL RECOMMENDATION FOR THE FOURTH TRANCHE IS $22 MILLION. $2 MILLION IS FOR NORTH BERKELEY BART AND $20 MILLION IS FOR -- THAT IS THE SUM TOTAL OF THE FOURTH TRANCHE, WHICH CLOSES OUT THE $135 MILLION TOTAL ISSUANCE. IT'S BEEN ALLOCATE, ESSENTIALLY. AND TO YOUR QUESTION, THERE'S FIVE PROJECTS THAT ARE PART OF THIS ISSUANCE WE ARE TALKING ABOUT TONIGHT, ONE IS THE PEOPLE'S PARK SUPPORTIVE HOUSING PROJECT. ANOTHER IS THE ASHBY BART, PART OF ASHBY BART, PART OF NORTH BERKELEY BART, AND ONE AT SAINT PAUL TERRACE, ANOTHER PROJECT AT LEGACY COURT. THOSE ARE THE FIVE PROJECTS THAT WOULD MAKE UP THE $35 MILLION ISSUANCE.

>> I AM ALSO CURIOUS, SINCE I KNOW WE NEED MORE FUNDING FOR AFFORDABLE HOUSING, WONDERING IF WE ADD CONVERSATIONS ABOUT GOING AT AGAIN FOR ANOTHER BOND FOR AFFORDABLE HOUSING HERE LOCALLY.

>> WE HAVEN'T ON THE STAFF SIDE.

>> GOOD FOR US TO KNOW. THANK YOU. AND I DO KNOW THE COUNTY IS REALLY CONVERSATIONS ABOUT THIS AS WELL, SO EVERYONE IS AWARE NOW I CAN SAY THAT, SINCE WE ARE ALL HERE. ANY OTHER QUESTIONS BEFORE I OPEN UP FOR PUBLIC COMMENT? I AM GOING TO OPEN FOR PUBLIC COMMENT. THIS IS PUBLIC COMMENT ON -- I'M SORRY -- ON THE SPECIAL AGENDA ITEM 2 ISSUANCE OF THE $35 MILLION GENERAL OBLIGATION BOND FOR MEASURE O. ANY COMMENT?

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>> THERE'S NO ONLINE RAISED HANDS.

>> MAYOR A. ISHII: OKAY. ANY OTHER COUNCIL COMMENTS? OTHERWISE, I WILL ENTERTAIN A MOTION.

>> SO MOVED. OH. LET ME -- I MOVE THAT WE ADOPT A RESOLUTION AUTHORIZING THE ISSUANCE AND SALE OF GENERAL OBLIGATION BONDS TO FINANCE ACQUISITION AND IMPROVEMENT OF AFFORDABLE HOUSING AND AUTHORIZING ACTION, RELATED THERETO.

>> SECOND.

>> MAYOR A. ISHII: OKAY. CAN YOU PLEASE TAKE THE ROLL?

>> COUNCIL MEMBER KESARWANI.

>> YES.

>> TAPLIN.

>> YES.

>> TREGUB.

>> AYE.

>> O'KEEFE.

>> YES.

>> LUNAPARRA.

>> YES, HUMBERT.

>> YES.

>> MAYOR ISHII.

>> MAYOR A. ISHII: I WILL ENTERTAIN A MOTION TO ADJOURN.

>> SO MOVED.

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>> SECOND.

>> OKAY TO ADJOURN THE SPECIAL MEETING, COUNCIL MEMBER KESARWANI.

>> YES.

>> TAPLIN.

>> YES.

>> TREGUB.

>> AYE.

>> O'KEEFE.

>> YES.

>> LUNAPARRA.

>> YES.

>> HUMBERT.

>> YES.

>> MAYOR ISHII.

>> YES. THANK YOU FOR BEING HERE. THANK YOU FOR THE TRAINING AND THE INFORMATION. I WILL SEE YOU ALL AT 6:00, OR MOST OF YOU.

>> AND NOW WE HAVE THE JOINT POWERS FINANCING --

>> MAYOR A. ISHII: APOLOGIES. MY BAD. SORRY. I WILL YOU CALL TO ORDER THE FINANCING AUTHORITY MEETING. TODAY IS MAY 20, 2025. CAN YOU PLEASE TAKE THE ROLL?

>> ALL RIGHT. MEMBER KESARWANI.

>> YES.

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>> TAPLIN?

>> YES. TREGUB.

>> AYE.

>> O'KEEFE.

>> HERE.

>> BLACKABY IS ABSENT. LUNAPARRA.

>> HERE.

>> HUMBERT.

>> HERE.

>> CHAIRPERSON ISHII.

>> OKAY. QUORUM IS PRESENT.

>> WE WILL TAKE COMMENT ON NON-AGENDA MATTERS. ANYONE HERE ON NON-AGENDA MATTERS? THERE ARE NO HANDS RAISED ONLINE.

>> MOVING ON TO THE CONSENT CALENDAR, WE ARE ALSO GOING TO -- ANYONE HAVE ANY COMMENTS? OKAY. IN THAT CASE, WE'LL TAKE PUBLIC COMMENT ON CONSENT CALENDAR INFORMATION ITEMS ONLY. AND THE MONTH THING ON THE CONSENT CALENDAR IS MINUTES FOR APPROVAL. OKAY. ANY PUBLIC COMMENT?

>> NO COMMENTS. NO HANDS RAISED.

>> ANY COMMENTS -- OKAY, WE HAVE DONE THAT. I WILL ENTERTAIN A MOTION TO APPROVE OUR CONSENT CALENDAR.

>> SO MOVED.

>> SECOND.

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>> CAN YOU TAKE THE ROLL, PLEASE.

>> OKAY. ON CONSENT, MEMBER KESARWANI.

>> YES.

>> TAPLIN?

>> YES.

>> TREGUB.

>> AYE.

>> O'KEEFE.

>> I WILL ABSTAIN BECAUSE I WASN'T THERE.

>> BLACKABY, ACCENT. LUNAPARRA?

>> YES.

>> HUMBERT?

>> YES, EVEN THOUGH I WASN'T THERE.

>> AND ISHII.

>> I WILL ALSO VOTE YES.

>> OKAY. MOTION CARRIES. MINUTES ARE APPROVED.

>> OKAY, MOVING ON TO THE ACTUAL DOLLAR, THERE IS ONE ITEM ON THE ACTUAL DOLLAR. AUTHORIZING THE EXECUTION, SALE, DELIVERY OF LEASE REVENUE NOTES FOR THE FIRE ADMINISTRATION AND TRAINING PROJECT. I WOULD LIKE TO START WITH OUR PRESENTATION. THANK YOU.

>> I THINK I AM THE TREASURER FOR THIS, RIGHT?

>> YES.

>> FOR THE JOINT POWERS BOARD. THE STAFF IS HERE TO GET APPROVAL

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FOR AUTHORITY TO ISSUE LEASE REVENUE BONDS AS A WAY OF GETTING THE CITY TO BE ABLE TO LEASE -- THAT WOULD LET THE -- IN A MORE LEGAL WAY.

>> GOOD EVENING. CHRIS LYNCH. I THOUGHT I WOULD EXPLAIN WHY YOU ARE APPROVING THE SAME FINANCING. IN CALIFORNIA, CITIES WHO WISH TO FINANCE THINGS USING THE GENERAL FUND AS THE SOURCE OF PAYMENT HAVE TO STRUCTURE THEM AS LEASE FINANCINGS. THE MOST EFFICIENT WAY TO DO THAT IS TO HAVE THE CITY LEASE ONE OF ITS EXISTING ASSETS TO A JOINT POWERS AUTHORITY THAT IT FORMED FOR THAT PURPOSE, WHICH LEASES THE ASSET BACK TO THE CITY, THEN THE CITY MAKES LEASE PAYMENTS FOR THAT LEASE AND THE AUTHORITY USES THOSE LEASE PAYMENTS TO PAY DEBT SERVICE ON BONDS OR NOTES IT ISSUES. THE LAW REQUIRES THE CITY COUNCIL, AS THE LOCAL AGENCY PAYING FOR THE LEASE PAYMENTS FROM ITS GENERAL FUND, FIRST HOLD A PUBLIC HEARING AND APPROVE FINANCING, THEN SUBSEQUENTLY, THE JOINT POWERS AUTHORITY CAN APPROVE THE FINANCING. THAT IS THE REASON FOR THE TWO-PART MEETING AND THE SEQUENCE IN WHICH WE ACTED.

>> MAYOR A. ISHII: THANK YOU. I APPRECIATE THAT. ANY OTHER PRESENTATION NEEDED FOR THIS? NO. OKAY. THANK YOU VERY MUCH. ANY QUESTIONS ABOUT THIS? NO QUESTIONS. DO WE HAVE PUBLIC COMMENT?

>> NO HANDS RAISED, NO.

>> ANY OTHER COUNSEL COMMENTS BEFORE MOVING FORWARD? I WILL

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ENTERTAIN A MOTION OTHERWISE.

>> I WOULD MOVE TO ADOPT THE RESOLUTION LAID OUT IN ACTION ITEM 2.

>> SECOND.

>> CAN YOU TAKE THE ROLL, PLEASE.

>> OKAY. TO APPROVE ITEM 2, AUTHORITY MEMBER KESARWANI.

>> YES.

>> TAPLIN?

>> AYE.

>> TREGUB.

>> AYE.

>> O'KEEFE.

>> AYE.

>> LUNAPARRA.

>> YES.

>> HUMBERT.

>> YES AND CHAIR ISHII.

>> YES, THANK YOU, SECRETARY. YOU ARE SECRETARY FOR THIS ONE, RIGHT?

>> YES.

>> AND THEN I THINK WE HAVE ONE MORE PUBLIC COMMENT FOR NOT LISTED ON THE AGENDA? ANY OTHER PUBLIC COMMENT? OKAY. I WILL ENTERTAIN A MOTION TO ADJOURN.

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>> SO MOVED.

>> SECOND.

>> SECOND.

>> CAN YOU TAKE THE ROLL PLEASE, CLERK.

>> TO ADJOURN THE MEETING OF THE JOINT POWERS FINANCING AUTHORITY, MEMBER KESARWANI.

>> YES.

>> TAPLIN.

>> AYE.

>> TREGUB.

>> AYE.

>> LUNAPARRA.

>> YES.

>> HUMBERT.

>> YES.

>> CHAIR ISHII.

>> YES. THANK YOU VERY MUCH. AND THIS TIME FOR REAL, WE WILL SEE YOU AT 6:00. THANKS, EVERYONE.

>> RECORDING STOPPED.

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